

House File 952

H-1294

1 Amend House File 952 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <Section 1. NEW SECTION. 8A.311C State purchasing
5 contracts — prohibited terms.

6 The provisions set forth in this section are void as a matter
7 of law as contrary to public policy if included in a contract
8 for the procurement of goods or services entered into by the
9 department or any other state agency pursuant to this part.
10 A state agency's contract that includes any of the following
11 provisions shall be interpreted as if the contract did not
12 include the void provision:

13 1. A provision that requires the state or its agencies to
14 defend, indemnify, hold harmless another person, or otherwise
15 assume the debt or liability of another person in violation of
16 Article VII, section 1, of the Constitution of the State of
17 Iowa.

18 2. A provision that seeks to impose vendor terms that
19 are unknown at the time of signing the contract or can be
20 unilaterally changed by the vendor.

21 3. A provision that violates chapter 13 by not allowing
22 a state agency to participate in its own defense through
23 representation by the attorney general.

24 4. A provision that grants to any person other than the
25 attorney general the authority to convey to a court or litigant
26 the state's consent to any settlement of a suit involving the
27 contract when such settlement could impose liability on the
28 state.

29 5. A provision that specifies that the contract is governed
30 by the laws of a foreign state or nation.

31 6. A provision that claims blanket confidentiality of the
32 contract's terms.

33 7. A provision that claims that payment terms, including but
34 not limited to cost proposals or other pricing information, of
35 the contract are confidential.

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1 8. A provision that authorizes or requires a venue for
2 litigation other than an appropriate state or federal court
3 sitting in Iowa.

4 9. A provision that requires a state agency to pay attorney
5 fees, court costs, or other litigation expenses in the event of
6 a contractual dispute.

7 10. A provision that imposes on the state or its agencies
8 binding arbitration or another binding extrajudicial dispute
9 resolution process in which the final resolution is not
10 determined by the state.

11 11. A provision that waives a state agency's right to a jury
12 trial.

13 12. A provision that obligates a state agency to pay a late
14 payment charge not consistent with section 8A.514, interest
15 greater than allowed under section 8A.514 or other applicable
16 law, or any cancellation charge, as such charges constitute
17 pledges of the state's credit.

18 13. A provision that obligates a state agency to pay a tax.

19 14. A provision that imposes a prior notice obligation on
20 a state agency as a condition for the automatic renewal of a
21 software license. A state agency may provide notice of its
22 intent to terminate a software license at any time before the
23 renewal date established in the contract.

24 15. A provision that obligates a state agency to accept risk
25 of loss before the receipt of items or goods.

26 16. A provision that obligates a state agency to have
27 commercial insurance.

28 17. A provision that obligates a state agency to grant a
29 contractor full or partial ownership of intellectual property
30 developed pursuant to a state agency contract when the
31 intellectual property is developed in whole or in part using
32 federal funding.

33 18. A provision that limits the time in which the state or
34 its agencies may bring a legal claim under the contract to a
35 period shorter than that provided by Iowa law.

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1 19. A boilerplate provision included in a vendor's
2 transactional documents, including but not limited to ordering
3 documents and quotations, that seeks to alter the terms of a
4 state agency's contract or to impose new terms in the contract.

5 Sec. 2. NEW SECTION. 8A.311D State purchasing contracts —
6 required terms.

7 All of the following provisions shall be deemed to be
8 included in a state agency vendor contract:

9 1. *Governing law.* The contract shall be governed by
10 the laws of the state of Iowa, without giving effect to any
11 conflict of laws principles of Iowa law that may require the
12 application of another jurisdiction's law.

13 2. *Venue.* Any litigation commenced in connection with the
14 contract shall be brought and maintained in an appropriate
15 state or federal court sitting in Iowa.

16 Sec. 3. NEW SECTION. 8A.311E State purchasing contracts —
17 waiver.

18 If the director determines that a necessary good or service
19 is impossible to procure due to a requirement of section
20 8A.311C or 8A.311D, the director may waive the requirement
21 to the extent necessary to obtain the good or service. A
22 state agency requesting a waiver shall, at a minimum, provide
23 sufficient evidence showing that the state will suffer an
24 interruption in business operations or other irreparable harm
25 if the state agency cannot procure the good or service, and
26 that the state agency has exhausted all reasonable steps to
27 prevent such harm, including attempting to procure substitute
28 goods or services. The director may require the submission of
29 additional evidence at the director's discretion. A waiver
30 must be as narrow as possible to allow the procurement of the
31 necessary good or service.

32 Sec. 4. APPLICABILITY. This Act applies to contracts
33 entered into or renewed on or after the effective date of this
34 Act.>

35 2. Title page, by striking lines 1 through 3 and inserting

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1 <An Act relating to contracts entered into by state agencies
2 and including>

NORDMAN of Dallas